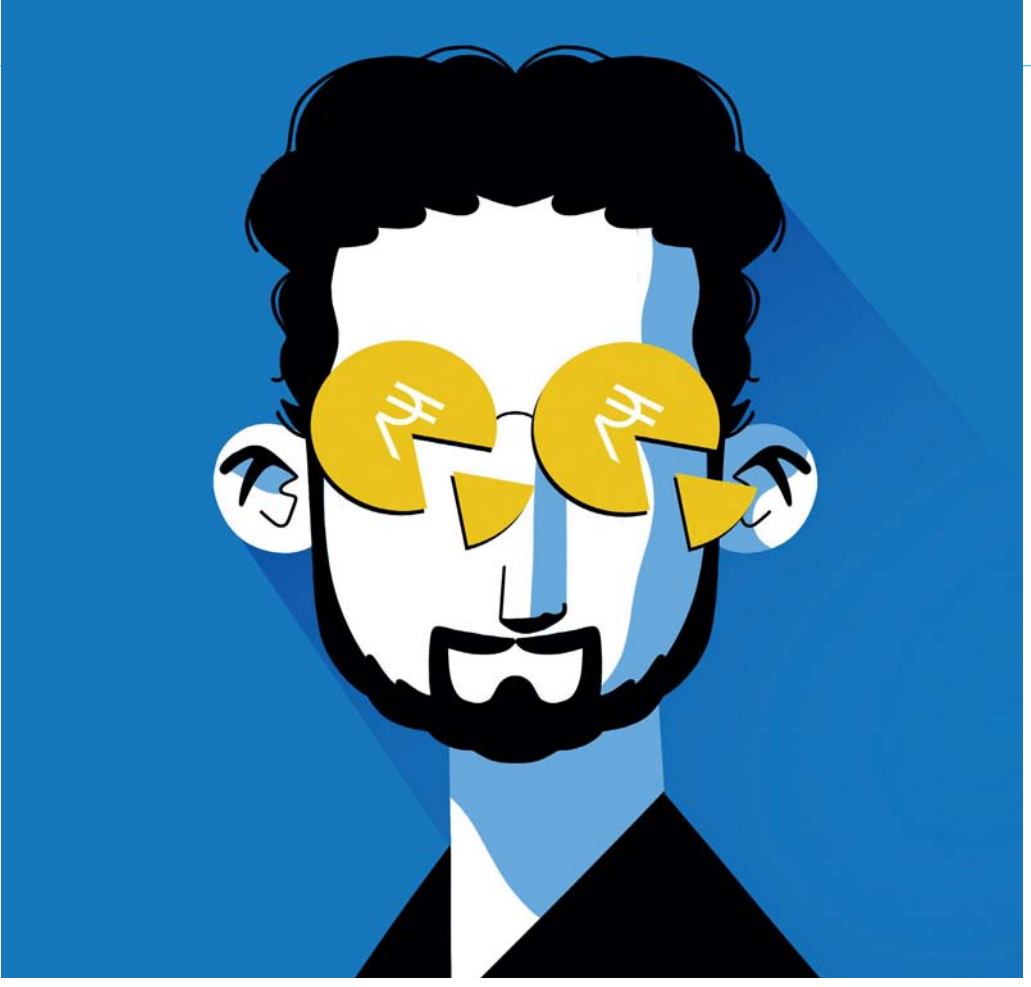


Illustration by SIDDHANT JUMDE

THE EQUITY MUTUAL FUND UNIVERSE

TYPE OF FUND	CHARACTERISTICS
Large Cap	At least 80% investment in large cap stocks
Large & Mid Cap	At least 35% investment in large cap stocks and 35% in mid cap stocks
Mid Cap	At least 65% investment in mid cap stocks
Flexi Cap	At least 65% investment in equity & equity-related instruments across large cap, mid cap, small cap stocks
Multi Cap	At least 75% investment in equities and equity-linked instruments. Portfolio exposure to have at least 25% in large cap, mid cap and small cap companies respectively
Dividend Yield Fund	Predominantly invest in dividend yielding stocks and at least 65% investments in stocks
Value Fund*	Value investment strategy, with at least 65% in stocks
Contra Fund*	Scheme follows contrarian investment strategy with at least 65% in stocks
Focused Fund	Focused on the number of stocks (maximum 30) with at least 65% in equity & equity-related instruments
Sectoral/ Thematic Fund	At least 80% investment in stocks of a particular sector or theme
ELSS (Equity Linked Savings Scheme)	At least 80% in stocks in accordance with Equity Linked Saving Scheme, 2005, notified by Ministry of Finance

*Source: Sebi Mutual Fund Categorisation; *Each AMC can offer either contra or value fund, but not both*

↘ POSITIONING DIFFERENT EQUITY FUNDS

Each category of equity fund is suitable for different time frames. A small-cap fund is suitable to be included in a portfolio earmarked for long-term goals—seven to 10 years. In comparison, a large cap fund will be suitable for a goal that is 5-6 years ahead. When investing for a financial goal, such as retirement that may be a good 20 years in the future, a portfolio could have a mix of large, mid and small cap funds and even sector and thematic funds.

Wars, disasters, economic downturn and political instability impact the way the stock markets move. However, when you see the long-term movement of stock markets, they are sideways and upwards, which should infuse confidence in you to invest and be patient with your investments.

To start investing in equities, start by listing out your financial goals and the time period you have to achieve them in, after which you can map different types of funds for different financial goals and start investing. The more you procrastinate, the more you are eroding the worth of money you have saved.

Make a small start, be regular with investing and stay the course with your investments to beat inflation in the long run and realise the many financial goals that you have in life. ■

–Narayan Krishnamurthy